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ECONOMICS

GRADE 9 · ኢኮኖሚክስ 9ኛ ክፍል

Unit 1: Introducing Economics

ምዕራፍ 1፦ ኢኮኖሚክስን ማስተዋወቅ

COMPLETE EUEE PREPARATION · BILINGUAL EDITION

English · አማርኛ

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Introduction to Unit 1

የምዕራፍ 1 መግቢያ

ENGLISH

This unit introduces **economics as a social science**: what it means, its two major **branches** (microeconomics and macroeconomics), the **methods and approaches** used to study it, and the **decision-making units** of an economy. These foundations are essential for understanding real-world problems such as poverty, unemployment, inflation and recession.

አማርኛ

> ይህ ምዕራፍ ኢኮኖሚክስን እንደ ማኅበራዊ ሳይንስ ያስተዋውቃል፦ ትርጉሙን፣ ሁለቱን ዋና ቅርንጫፎቹን (ማይክሮ ኢኮኖሚክስና ማክሮ ኢኮኖሚክስ)፣ የሚጠናባቸውን ዘዴዎችና አቀራረቦች እንዲሁም የኢኮኖሚ ውሳኔ ሰጪ አካላትን። እነዚህ መሠረታዊ ሃሳቦች እንደ ድህነት፣ ሥራ አጥነት፣ የዋጋ ግሽበትና የኢኮኖሚ ድቀት ያሉ እውነተኛ ችግሮችን ለመረዳት አስፈላጊ ናቸው።

ENGLISH

In this edition you will also find: clear comparison tables, five diagrams (scarcity and choice, branches, methods, positive vs normative, circular flow), **7 worked examples**, a **41-question bank** with a complete answer key, a key-terms sheet and exam tips.

አማርኛ

> በዚህ እትም ውስጥ የሚያገኙት፦ ግልጽ የንጽጽር ሰንጠረዦች፣ አምስት ስዕላዊ መግለጫዎች (እጥረትና ምርጫ፣ ቅርንጫፎች፣ ዘዴዎች፣ ፖዚቲቭ ከኖርማቲቭ፣ የኢኮኖሚ ዝውውር)፣ 7 የተሠሩ ምሳሌዎች፣ 41 ጥያቄዎች ከሙሉ የመልስ ቁልፍ ጋር፣ የቁልፍ ቃላት ወረቀት እና የፈተና ምክሮች።

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1.1 Meaning of Economics

1.1 የኢኮኖሚክስ ትርጉም

1.1.1 Definition of Economics

የኢኮኖሚክስ ትርጓሜ

ENGLISH

- **Origin:** the word *economics* comes from the ancient Greek word **oikonomia**, meaning the **management of a family or household**. The study of economics began in ancient Greece.
- **Classification:** economics is a branch of the **social sciences**.
- **Growing importance:** global problems such as **poverty, unemployment, inflation, recession and population explosion** make in-depth knowledge of economics crucial.
- **Evolving definition:** there is no single "completed" definition. It developed through the **wealth**, **welfare** and **scarcity** definitions as economic theory advanced.

አማርኛ

- መነሻ፦ "ኢኮኖሚክስ" የሚለው ቃል ከጥንታዊው የግሪክ ቃል "ኦይኮኖሚያ (oikonomia)" የመጣ ሲሆን ትርጉሙ የቤተሰብ ወይም የቤት አስተዳደር ማለት ነው። የኢኮኖሚክስ ጥናት የጀመረው በጥንቷ ግሪክ ነው።
- ምደባ፦ ኢኮኖሚክስ ከማኅበራዊ ሳይንሶች (Social sciences) አንዱ ነው።
- እየጨመረ የመጣ ጠቀሜታ፦ እንደ ድህነት፣ ሥራ አጥነት፣ የዋጋ ግሽበት (Inflation)፣ የኢኮኖሚ ድቀት (Recession) እና የሕዝብ ፍንዳታ ያሉ ዓለም አቀፍ ችግሮች ስላሉ ጥልቅ የኢኮኖሚክስ ዕውቀት ወሳኝ ሆኗል።
- ተሻሻይ ትርጓሜ፦ አንድ ብቸኛ "የተጠናቀቀ" ትርጓሜ የለም፤ የኢኮኖሚ ንድፈ ሐሳብ እያደገ ሲሄድ በሀብት (Wealth)፣ በደህንነት (Welfare) እና በእጥረት (Scarcity) ትርጓሜዎች አልፏል።

Definition. *Economics is a branch of social science that studies the efficient allocation of scarce resources so as to attain the maximum fulfilment of human needs.*

ኢኮኖሚክስ እጥረት ያለባቸውን ሀብቶች በብቃት በመመደብ የሰው ልጅ ፍላጎቶች በከፍተኛ ደረጃ እንዲሟሉ የሚያጠና የማኅበራዊ ሳይንስ ቅርንጫፍ ነው።

Alternatively, as a **science of choice**, economics studies how people choose to use scarce or limited productive resources (such as **land, labour, equipment and technical knowledge**) to produce various commodities.

በሌላ አገላለጽ፣ ኢኮኖሚክስ እንደ "የምርጫ ሳይንስ" ሰዎች እጥረት ያለባቸውን የምርት ሀብቶች (መሬት፣ ጉልበት፣ መሣሪያ፣ ቴክኒካዊ ዕውቀት) ለተለያዩ ምርቶች እንዴት እንደሚመርጡ ያጠናል።

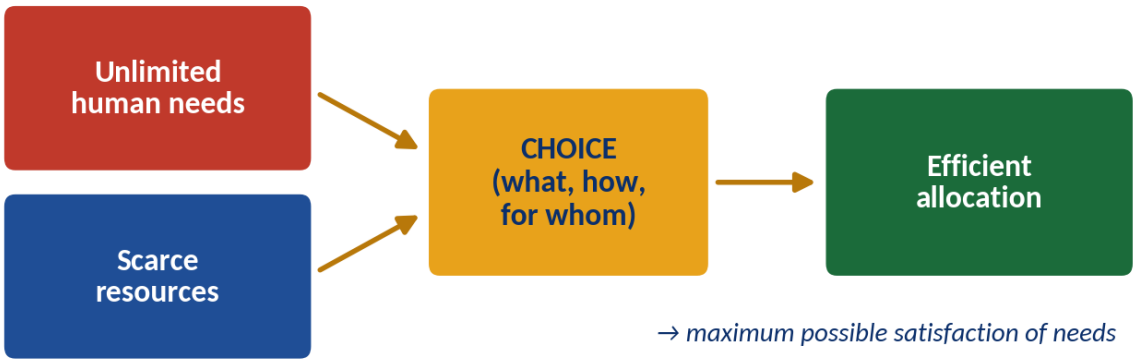


Figure 1.1 *Scarcity forces choice; the aim is efficient allocation.*
ስዕል 1.1፦ አጥረት ምርጫን ያስገድዳል፤ ግቡ ቀልጣፋ ድልድል ነው።

Table 1.1 The three stages in the evolution of the definition · ሰንጠረዥ 1.1፦ የትርጓሜው ሦስት ደረጃዎች

Definition ትርጓሜ	Main idea ዋና ሃሳብ	Associated economist ኢኮኖሚስት
Wealth ሀብት	Economics studies the nature and causes of the wealth of nations	Adam Smith (1776)
Welfare ደህንነት	Economics studies the material requirements of human well-being	Alfred Marshall (1890)
Scarcity አጥረት	Economics studies how limited means with alternative uses are used to satisfy unlimited wants	Lionel Robbins (1932)

The names and dates are enrichment; the textbook only asks you to know the three definitions and the final "scarcity" view.

Key statements derived from the definition

ENGLISH

- Economics studies **scarce resources**.
- It studies the **allocation** of resources.
- The allocation should be **efficient**.
- Human needs are **unlimited**.
- **Objective of economics:** to satisfy unlimited human needs to the maximum possible degree by allocating scarce resources efficiently.

አማርኛ

- ኢኮኖሚክስ አጥረት ያለባቸውን ሀብቶች ያጠናል።
- የሀብት ድልድልን (Allocation) ያጠናል።
- ድልድሉ ቀልጣፋ (Efficient) መሆን አለበት።
- የሰው ልጅ ፍላጎቶች ገደብ የለሽ ናቸው።
- የኢኮኖሚክስ ዓላማ፦ ገደብ የለሽ የሰው ፍላጎቶችን አጥረት ያለባቸውን ሀብቶች በብቃት በመመደብ በተቻለ መጠን ማርካት ነው።

COMMON MISTAKE · የተለመደ ስህተት

✗ "Economics studies unlimited resources and limited human needs."

✓ It is the other way round: human needs are **unlimited** and resources are **scarce** — that is why choice and efficient allocation are necessary.

✓ ትክክለኛው፦ የሰው ፍላጎት ገደብ የለሽ ሲሆን ሀብት ግን እጥረት አለበት።

1.1.2 The Nature of Economics: Science or Art?

የኢኮኖሚክስ ባህሪ፦ ሳይንስ ወይስ ጥበብ?

ENGLISH

Definitions differ because people have viewed the subject matter of economics differently over time. Some economists see it as a **science**, others as an **art**.

አማርኛ

ሰዎች የኢኮኖሚክስን የጥናት ርዕሰ ጉዳይ በጊዜ ሂደት በተለያየ መንገድ ስለተመለከቱ ትርጓሜዎቹ ይለያያሉ፤ አንዳንድ ኢኮኖሚስቶች ሳይንስ፣ ሌሎች ደግሞ ጥበብ (Art) ነው ይላሉ።

	Economics as a science ኢኮኖሚክስ እንደ ሳይንስ	**Economics as an art** ኢኮኖሚክስ እንደ ጥበብ
Meaning ትርጉም	A systematic, organised body of knowledge linking causes and effects; describes **"what is"**	A technique or way of doing or achieving something
In economics በኢኮኖሚክስ	Facts are systematically **collected, classified, analysed and interpreted**, and used to predict the future	Principles and methods are provided to **solve problems** such as unemployment, poverty and inflation; causes of problems are examined and procedures for solutions are set out
Verdict ድምዳሜ	Yes — it is a science	Yes — it is an art

KEY TAKEAWAY Science and art / ሳይንስና ጥበብ

- Economics is **both** a science (it studies economic phenomena systematically to understand "what is") and an art (it offers practical techniques to solve economic problems).
- ኢኮኖሚክስ ሁለቱም ነው፦ ሳይንስ (ክስተቶችን በሥርዓት በማጥናት "ያለውን" ይገልጻል) እና ጥበብ (ችግሮችን ለመፍታት ተግባራዊ ዘዴዎችን ይሰጣል)።

Example 1.1 · Science or art?
ምሳሌ 1.1፦ ሳይንስ ወይስ ጥበብ?

Decide whether each activity shows economics as a **science** or as an **art**: (a) collecting and analysing grain-price data to predict next season's prices; (b) the government using economic principles to design a plan that reduces unemployment.

እያንዳንዱ ተግባር ኢኮኖሚክስን እንደ ሳይንስ ወይስ እንደ ጥበብ የሚያሳይ እንደሆነ ወስኑ፦ (ሀ) የሚቀጥለውን ወቅት የእህል ዋጋ ለመተንበይ መረጃ መሰብሰብና መተንተን፤ (ለ) መንግሥት ሥራ አጥነትን የሚቀንስ ዕቅድ ለመንደፍ የኢኮኖሚ መርሆችን መጠቀም።

(a) systematic collection, analysis and prediction → **science**
(b) using principles and methods to solve a real problem → **art**

ሀ) መረጃን በሥርዓት መሰብሰብ፣ መተንተንና መተንበይ → ሳይንስ፤ ለ) መርሆችን ችግር ለመፍታት መጠቀም → ጥበብ።

1.2 Branches of Economics

1.2 የኢኮኖሚክስ ቅርንጫፎች

ENGLISH

This section explores the two fundamental branches of modern economics — **microeconomics** and **macroeconomics** — and shows how to distinguish them and what core problem each tries to solve.

አማርኛ

ይህ ክፍል የዘመናዊ ኢኮኖሚክስን ሁለት መሠረታዊ ቅርንጫፎች — ማይክሮ ኢኮኖሚክስና ማክሮ ኢኮኖሚክስ — ይመረምራል፤ እነሱን ለመለየትና እያንዳንዱ የሚፈታውን ዋና ችግር ያሳያል።

As the scope of economics keeps expanding, many specialised branches have emerged: *development*, *environmental*, *industrial*, *international*, *labour*, *mathematical*, *monetary*, *welfare*, *resource*, *behavioural*, *experimental* and *health economics*. Yet modern economics rests mainly on **two** branches.

የኢኮኖሚክስ ወሰን እየሰፋ ሲሄድ የልማት፣ የአካባቢ፣ የኢንዱስትሪ፣ ዓለም አቀፍ፣ የሠራተኛ፣ የሒሳብ፣ የገንዘብ፣ የደህንነት፣ የሀብት፣ የባህሪ፣ የሙከራና የጤና ኢኮኖሚክስ የመሳሰሉ ብዙ ልዩ ቅርንጫፎች ተፈጥረዋል፤ ሆኖም ዘመናዊ ኢኮኖሚክስ በዋናነት በሁለት ቅርንጫፎች ላይ ይመሰረታል።

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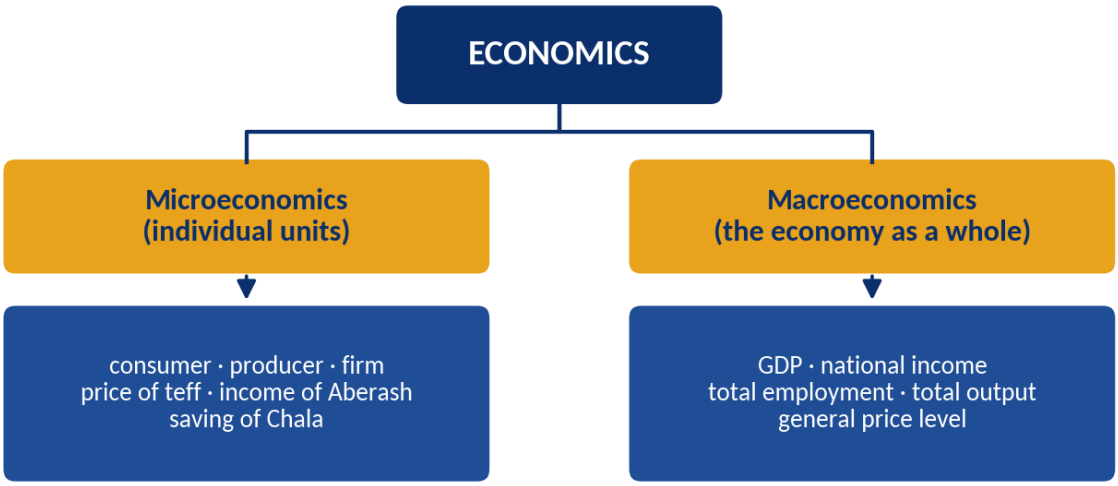


Figure 1.2 *The two major branches of economics with typical examples.*
ስዕል 1.2፦ ሁለቱ የኢኮኖሚክስ ዋና ቅርንጫፎች ከተለመዱ ምሳሌዎች ጋር።

1.2.1 Microeconomics

ማይክሮ ኢኮኖሚክስ

ENGLISH

- **Definition:** the branch concerned with the economic behaviour of **individual decision-making units** (households, firms, governments) and their interactions through markets and industries.
- **Focus:** how individual households and firms make decisions and interact in specific markets.
- **Examples:** the activities of a consumer; of a producer, a firm or an industry; the income of individuals; the determination of prices of products and factors of production.
- **Fundamental problem: resource allocation** or **price determination**.

አማርኛ

- ትርጓሜ፦ የግለሰብ ውሳኔ ሰጪ አካላትን (ቤተሰቦች፣ ድርጅቶች፣ መንግሥት) የኢኮኖሚ ባህሪና በገበያዎችና ኢንዱስትሪዎች በኩል ያላቸውን ግንኙነት የሚያጠና ቅርንጫፍ ነው።
- ትኩረት፦ ግለሰብ ቤተሰቦችና ድርጅቶች እንዴት ውሳኔ እንደሚወስኑና በተወሰኑ ገበያዎች እንዴት እንደሚገናኙ።
- ምሳሌ፦ የሸማች እንቅስቃሴ፤ የአምራች፣ የድርጅት ወይም የኢንዱስትሪ እንቅስቃሴ፤ የግለሰቦች ገቢ፤ የምርቶችና የምርት ግብዓቶች ዋጋ አወሳሰን።
- መሠረታዊ ችግር፦ የሀብት ድልድል ወይም የዋጋ አወሳሰን።

1.2.2 Macroeconomics

ማክሮ ኢኮኖሚክስ

ENGLISH

- **Definition:** the branch that deals with the effects and consequences of the **aggregate behaviour of all decision-making units** in an economy.
- **Focus:** the interrelations among aggregate economic variables, how they are determined, and the causes of their fluctuations over time.
- **Examples:** total employment, total output, national income, total investment and total consumption of an entire economy.
- **Fundamental problem:** the **full employment** of economic resources.

አማርኛ

- ትርጓሜ፦ በአንድ ኢኮኖሚ ውስጥ የሁሉም ውሳኔ ሰጪ አካላትን የጥቅል (Aggregate) ባህሪ ውጤትና መዘዝ የሚመለከት ቅርንጫፍ ነው።
- ትኩረት፦ በጥቅል የኢኮኖሚ ተለዋዋጮች መካከል ያለ ግንኙነት፣ እንዴት እንደሚወሰኑና በጊዜ ሂደት የሚለዋወጡበት ምክንያት።
- ምሳሌ፦ ጠቅላላ የሥራ ስምሪት፣ ጠቅላላ ምርት፣ ብሔራዊ ገቢ፣ ጠቅላላ ኢንቨስትመንትና በመላው ኢኮኖሚ ያለ ጠቅላላ ፍጆታ።
- መሠረታዊ ችግር፦ የኢኮኖሚ ሀብቶች ሙሉ ሥራ ላይ መዋል (Full employment)።

1.2.3 Difference between Microeconomics and Macroeconomics

በማይክሮና በማክሮ ኢኮኖሚክስ መካከል ያለ ልዩነት

Table 1.2 Micro vs macro · ሰንጠረዥ 1.2፦ ማይክሮ ከማክሮ ሲነጻጸር

Basis መሠረት	Microeconomics ማይክሮ ኢኮኖሚክስ	Macroeconomics ማክሮ ኢኮኖሚክስ
Scope of study የጥናት ወሰን	Individual economic units (households, business firms)	The economy as a whole and its aggregates
Variables ተለዋዋጮች	Individual income, prices and outputs	National income, total output, general price level
Central problem ዋና ችግር	Price determination and allocation of resources	Determination of the level of income and employment
Main tools ዋና መሣሪያዎች	Demand and supply of particular commodities and factors	Aggregate demand and aggregate supply of the whole economy
Problem-solving focus የችግር አፈታት ትኩረት	Solves the central problems of **what, how and for whom** to produce	Solves the problem of **full employment** of resources
Equilibrium ሚዛን	How equilibrium of a consumer, producer or industry is attained	Determination of equilibrium income and employment at aggregate level
Examples ምሳሌ	Price of teff, price of orange, income of Aberash, saving of Chala	GDP of Ethiopia, general price level in Ethiopia

The two branches are **complementary and interdependent**: macroeconomics cannot be studied effectively without microeconomics.

ሁለቱ ቅርንጫፎች እርስ በርስ ተጓዳኝና ተደጋጋፊ ናቸው፤ ማክሮ ኢኮኖሚክስ ያለ ማይክሮ ኢኮኖሚክስ በብቃት ሊጠና አይችልም።

Example 1.2 · Micro or macro?
ምሳሌ 1.2፦ ማይክሮ ወይስ ማክሮ?

Classify each item as a **microeconomic** or a **macroeconomic** topic: (a) the price of teff; (b) the GDP of Ethiopia; (c) the saving of Chala; (d) the general price level in Ethiopia; (e) how a firm decides its output.

እያንዳንዱን ማይክሮ ወይም ማክሮ ኢኮኖሚያዊ ርዕስ ብላችሁ መድቡ፦ (ሀ) የጤፍ ዋጋ፤ (ለ) የኢትዮጵያ ጠቅላላ ሀገራዊ ምርት (GDP)፤ (ሐ) የጨላ ቁጠባ፤ (መ) በኢትዮጵያ ያለ አጠቃላይ የዋጋ ደረጃ፤ (ሠ) አንድ ድርጅት ምርቱን እንዴት እንደሚወስን።

(a) one product's price → **micro**
(b) GDP of the whole country → **macro**
(c) one person's saving → **micro**
(d) general price level → **macro**
(e) a single firm's decision → **micro**

ሀ) ማይክሮ፤ ለ) ማክሮ፤ ሐ) ማይክሮ፤ መ) ማክሮ፤ ሠ) ማይክሮ — ግለሰብ ክፍልን የሚመለከት ማይክሮ፣ መላ ኢኮኖሚን የሚመለከት ማክሮ ነው።

COMMON MISTAKE · የተለመደ ስህተት

✗ "Macroeconomics studies big firms; microeconomics studies small firms."

✓ The difference is **not size**. Micro studies individual units (one firm, one household, one price); macro studies the economy-wide totals and averages.

✓ ልዩነቱ በመጠን አይደለም፤ ማይክሮ ነጠላ አካላትን፣ ማክሮ ደግሞ መላ ኢኮኖሚን ያጠናል።

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1.3 Methods and Approaches of Studying Economics

1.3 ኢኮኖሚክስን የማጥናት ዘዴዎችና አቀራረቦች

ENGLISH

This section examines the two **methods** of logical reasoning used to build economic theories (deductive and inductive) and the two **approaches** to economic analysis (positive and normative).

አማርኛ

> ይህ ክፍል የኢኮኖሚ ንድፈ ሐሳቦችን ለመገንባት የሚያገለግሉትን ሁለት የምክንያታዊ አስተሳሰብ ዘዴዎች (ዲዳክቲቭና ኢንዳክቲቭ) እና ሁለቱን የኢኮኖሚ ትንተና አቀራረቦች (ፖዚቲቭና ኖርማቲቭ) ይመረምራል።

1.3.1 Methods of Studying Economics

የኢኮኖሚክስ የማጥናት ዘዴዎች

ENGLISH

- Like any science, economics aims at establishing **valid generalisations** about human behaviour. These generalisations are called **theories**.
- A **theory** is a simplified picture of reality that gives a basis for economic analysis, using logical reasoning.
- Two main methods of reasoning are used: the **deductive** and the **inductive** method.

አማርኛ

- እንደ ማንኛውም ሳይንስ ኢኮኖሚክስም ስለ ሰው ባህሪ ትክክለኛ አጠቃላይ መደምደሚያዎችን ማቋቋም ይፈልጋል፤ እነዚህ ንድፈ ሐሳቦች (Theories) ይባላሉ።
- ንድፈ ሐሳብ ማለት ለኢኮኖሚ ትንተና መሠረት የሚሆን፣ በምክንያታዊ አስተሳሰብ የተገነባ የእውነታ ቀለል ያለ ሥዕል ነው።
- ሁለት ዋና ዘዴዎች አሉ፦ ዲዳክቲቭ (Deductive) እና ኢንዳክቲቭ (Inductive)።

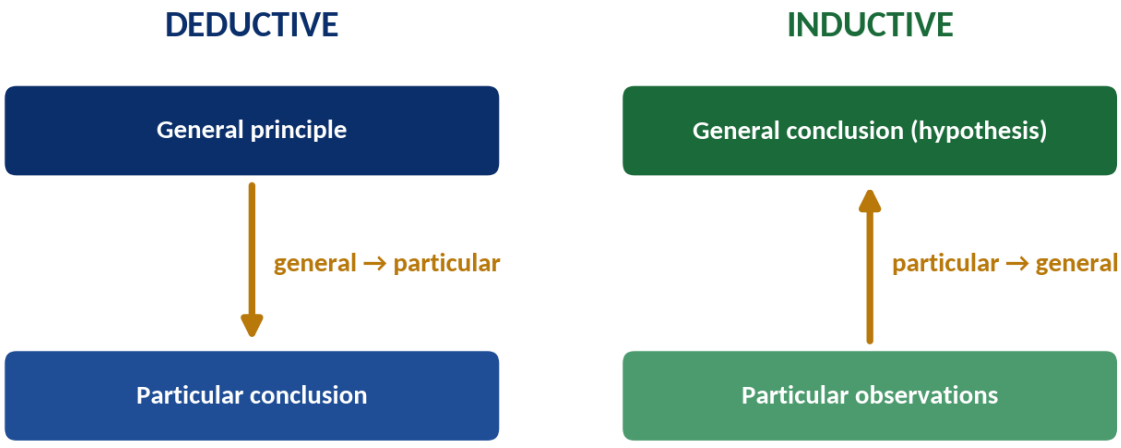


Figure 1.3 *Deduction goes from general to particular; induction goes from particular to general.*
ስዕል 1.3፦ ዲዳክሽን ከጠቅላላ ወደ ልዩ፣ ኢንዳክሽን ከልዩ ወደ ጠቅላላ ይሄዳል።

Deductive method

ENGLISH

- Proceeds from the **general to the particular**: from general principles to the analysis of specific facts, ending in a particular conclusion.
- The conclusions reached are then **verified against observed facts**.
- **Example:** (1) Man is mortal — general principle. (2) Abebe is a man — specific fact. (3) Therefore Abebe is mortal — particular conclusion.

አማርኛ

- ከጠቅላላ ወደ ልዩ ይሄዳል፦ ከአጠቃላይ መርሆች ተነስቶ የተወሰኑ እውነታዎችን በመተንተን ወደ ልዩ መደምደሚያ ይደርሳል።
- የተደረሰባቸው መደምደሚያዎች ከተስተዋሉ እውነታዎች ጋር ይረጋገጣሉ።
- ምሳሌ፦ (1) ሰው ሟች ነው (ጠቅላላ መርህ)፤ (2) አበበ ሰው ነው (ልዩ እውነታ)፤ (3) ስለዚህ አበበ ሟች ነው (ልዩ መደምደሚያ)።

Inductive method

ENGLISH

- Reasoning from a **part to the whole** — from the **particular to the general**. It approaches problems from a practical angle and bridges the gap between theory and practice.
- It builds theories from **observations and experiments**: (1) collect comprehensive data on prevailing economic conditions; (2) arrive at a **hypothesis** from the data.
- **Example:** at harvest time grain prices fall, which goes with a larger grain supply (observation). Generalisation: “other things constant, an increase in supply leads to a fall in price.”

አማርኛ

- ከክፍል ወደ ሙሉ — ከልዩ ወደ ጠቅላላ — ማሰብ ነው። ችግሮችን ከተግባራዊ አንጻር ይቃኛል፤ በንድፈ ሐሳብና በተግባር መካከል ያለውን ክፍተት ይሞላል።
- ንድፈ ሐሳቦችን ከምልከታና ከሙከራ ይገነባል፦ (1) ስላለው የኢኮኖሚ ሁኔታ ሰፊ መረጃ መሰብሰብ፤ (2) ከመረጃው መላምት (Hypothesis) ላይ መድረስ።
- ምሳሌ፦ በመከር ወቅት የእህል ዋጋ ይወርዳል፤ ይህም የእህል አቅርቦት ከመጨመር ጋር ይያያዛል (ምልከታ)። አጠቃላይ መደምደሚያ፦ “ሌሎች ነገሮች ቋሚ ሲሆኑ አቅርቦት ሲጨምር ዋጋ ይቀንሳል።”

KEY TAKEAWAY Deduction and induction / ዲዳክሽንና ኢንዳክሽን

- The two methods are **complementary**, not competing. Induction produces general conclusions from specific instances; deduction produces knowledge of specific instances from general knowledge.
- ሁለቱ ዘዴዎች እርስ በርስ ተጓዳኝ እንጂ ተፎካካሪ አይደሉም።

Example 1.3 · Deductive or inductive?
ምሳሌ 1.3፦ ዲዳክቲቭ ወይስ ኢንዳክቲቭ?

Name the method used: (a) "All consumers prefer lower prices; Almaz is a consumer; so Almaz prefers lower prices." (b) An economist records bread prices in 30 towns over three years and concludes that prices rise when wheat supply falls.

የተጠቀመውን ዘዴ ጥቀሱ፦ (ሀ) "ሸማቾች ሁሉ ዝቅተኛ ዋጋ ይመርጣሉ፤ አልማዝ ሸማች ናት፤ ስለዚህ አልማዝ ዝቅተኛ ዋጋ ትመርጣለች።" (ለ) አንድ ኢኮኖሚስት በ 30 ከተሞች የዳቦ ዋጋን ለሦስት ዓመት መዝግቦ የስንዴ አቅርቦት ሲቀንስ ዋጋ እንደሚጨምር ደመደመ።

(a) general statement → specific person → conclusion: **deductive**
(b) many observations → general rule: **inductive**

ሀ) ከጠቅላላ ወደ ልዩ — ዲዳክቲቭ፤ ለ) ከብዙ ምልከታ ወደ ጠቅላላ ሕግ — ኢንዳክቲቭ።

COMMON MISTAKE · የተለመደ ስህተት

✗ "Deductive means going from specific facts to a general rule."

✓ That is **induction**. Deduction starts from a **general principle** and ends in a **particular conclusion**.

✓ ከልዩ ወደ ጠቅላላ የሚሄደው ኢንዳክሽን ነው፤ ዲዳክሽን ከጠቅላላ ወደ ልዩ ይሄዳል።

1.3.2 Approaches of Studying Economics
የኢኮኖሚክስ የማጥናት አቀራረቦች

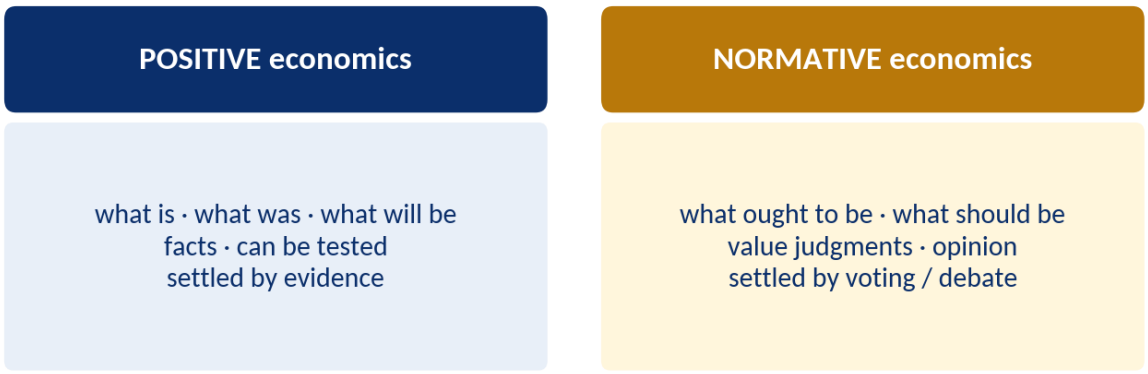


Figure 1.4 *Positive and normative economics at a glance.*
ስዕል 1.4፦ ፖዚቲቭና ኖርማቲቭ ኢኮኖሚክስ በአጭሩ።

	Positive economics ፖዚቲቭ ኢኮኖሚክስ	**Normative economics** ኖርማቲቭ ኢኮኖሚክስ
Concerned with የሚያተኩረው	Analysis of facts; describes the world **as it is**	What the economy **ought to be / should be**
Questions ጥያቄዎች	What is? What was? What will be?	What ought to be? What should be?
Nature ባህሪ	Objective; does not judge a system as good or bad, better or worse	Subjective; evaluates alternatives by **value judgments** (good for one person may not be good for another)

	Positive economics ፖዚቲቭ ኢኮኖሚክስ	Normative economics ኖርማቲቭ ኢኮኖሚክስ
Can it be proved? ማረጋገጥ ይቻላል?	Yes — checked against facts and evidence	No — a matter of opinion; cannot be proved or disproved by facts
Disagreements settled by አለመግባባት የሚፈታው	Referring to facts and evidence	Voting or public debate
Examples ምሳሌ	The number of secondary schools in Ethiopia is increasing. The current inflation rate in Ethiopia is 12 percent.	The government should introduce school feeding programs in all schools. There should be government intervention in the economy whenever necessary.

ENGLISH

- **Clue words.** *should*, *ought*, *better*, *worse*, *good*, *bad*, *fair*, *unfair*, *must* → usually **normative**. *is*, *was*, *will be*, *increased*, *equals*, *causes* → usually **positive**.
- A positive statement can be **false** and still be positive — what matters is that it **can be tested** against facts.

አማርኛ

- ፍንጭ ቃላት፦ "ይገባል፣ ይኖርበታል፣ የተሻለ፣ የከፋ፣ ጥሩ፣ መጥፎ፣ ፍትሃዊ" የሚሉ ቃላት ብዙ ጊዜ ኖርማቲቭ ያመለክታሉ፤ "ነው፣ ነበር፣ ይሆናል፣ ጨምሯል" የሚሉ ደግሞ ፖዚቲቭ ያመለክታሉ።
- ፖዚቲቭ መግለጫ ሐሰት ቢሆንም ፖዚቲቭ ነው፤ ዋናው ከእውነታ ጋር ሊፈተሽ መቻሉ ነው።

Example 1.4 · Positive or normative?
ምሳሌ 1.4፦ ፖዚቲቭ ወይስ ኖርማቲቭ?

Classify each statement: (a) "Ethiopia's inflation rate was 12 percent last year." (b) "The government should reduce taxes on school materials." (c) "Unemployment is higher in towns than in villages." (d) "Rich people ought to pay higher taxes."

እያንዳንዱን መግለጫ ፖዚቲቭ ወይም ኖርማቲቭ ብላችሁ መድቡ፦ (ሀ) "ባለፈው ዓመት የኢትዮጵያ የዋጋ ግሽበት 12 በመቶ ነበር።" (ለ) "መንግሥት በትምህርት ቁሳቁሶች ላይ ግብር መቀነስ ይገባዋል።" (ሐ) "ሥራ አጥነት በከተማ ከገጠር ይበልጣል።" (መ) "ሀብታሞች ከፍ ያለ ግብር ሊከፍሉ ይገባል።"

(a) a fact that can be checked → **positive**
(b) "should" = value judgment → **normative**
(c) a testable comparison (even if false) → **positive**
(d) "ought" = opinion → **normative**

ሀ) ፖዚቲቭ፤ ለ) ኖርማቲቭ ("ይገባዋል")፤ ሐ) ፖዚቲቭ፤ መ) ኖርማቲቭ ("ይገባል")።

COMMON MISTAKE · የተለመደ ስህተት

✗ "A positive statement is a good or optimistic statement."

✓ "Positive" means **factual and testable**. A positive statement can describe something bad (e.g. rising unemployment).

✓ "ፖዚቲቭ" ማለት በእውነታ የሚፈተሽ ማለት ነው፤ ጥሩ ወይም ተስፋ ሰጪ ማለት አይደለም።

1.4 Decision-Making Units

1.4 ውሳኔ ሰጪ አካላት

ENGLISH

An economy is divided into sections called **decision-making units** or **economic agents**. The three basic ones are **households**, **business firms** and the **government**.

አማርኛ

አንድ ኢኮኖሚ ውሳኔ ሰጪ አካላት ወይም የኢኮኖሚ ወኪሎች (Economic agents) በሚባሉ ክፍሎች ይከፈላል። ሦስቱ መሠረታዊ አካላት ቤተሰቦች (Households)፣ የንግድ ድርጅቶች (Business firms) እና መንግሥት (Government) ናቸው።

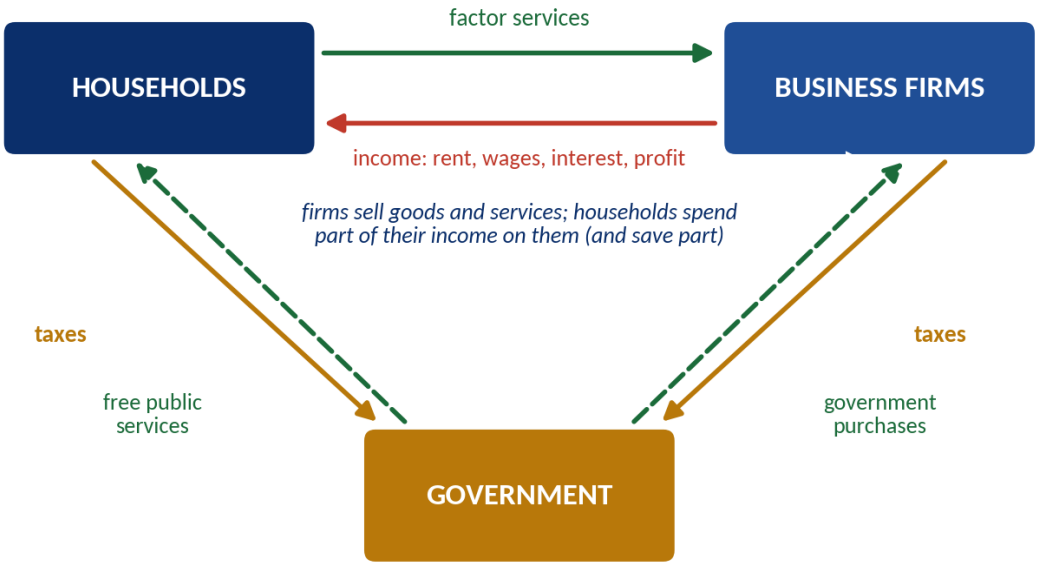


Figure 1.5 *The three decision-making units and their flows.*
ስዕል 1.5፦ ሦስቱ ውሳኔ ሰጪ አካላትና ግንኙነታቸው።

1.4.1 Households

ቤተሰቦች

ENGLISH

- Households are the **chief owners of the factors of production**: **land, labour, capital and entrepreneurship**.
- (1) They **sell factor services** to producers; (2) in return they receive income — **rent, wages, interest and profit**; (3) they **spend** much of it on goods and services; (4) they **save** part; (5) they **pay taxes** to the government.

አማርኛ

- ቤተሰቦች የምርት ግብዓቶች ዋና ባለቤቶች ናቸው፦ መሬት፣ ጉልበት፣ ካፒታልና ሥራ ፈጣሪነት።
- (1) የግብዓት አገልግሎቶችን ለአምራቾች ይሸጣሉ፤ (2) በምላሹ ኪራይ፣ ደመወዝ፣ ወለድና ትርፍ በገቢ መልክ ያገኛሉ፤ (3) ከገቢያቸው ብዙውን በሸቀጦችና አገልግሎቶች ላይ ያወጣሉ፤ (4) የተወሰነውን ይቆጥባሉ፤ (5) ለመንግሥት ግብር ይከፍላሉ።

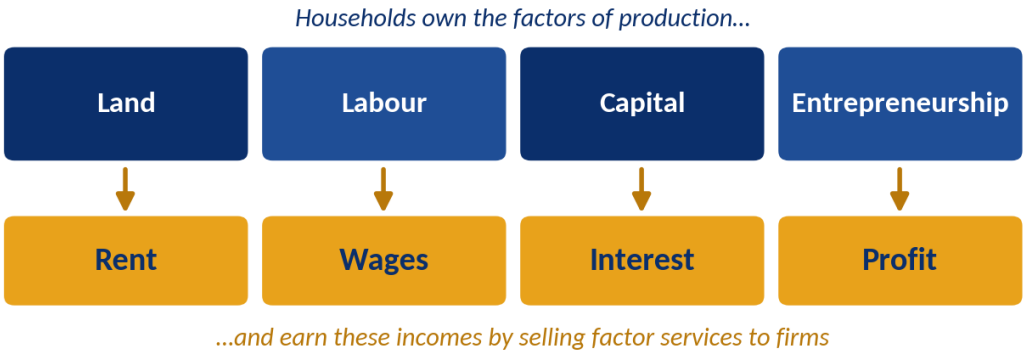


Figure 1.6 *Factors of production and the income each earns.*
ስዕል 1.6፦ የምርት ግብዓቶችና እያንዳንዳቸው የሚያስገኙት ገቢ።

Factor ግብዓት	What it is (examples) ምሳሌ	Reward ሽልማት
Land መሬት	natural resources: farmland, forests, minerals, water	**Rent**
Labour ጉልበት	human physical and mental effort of workers	**Wages**
Capital ካፒታል	man-made equipment and funds used in production (machines, buildings, money for investment)	**Interest**
Entrepreneurship ሥራ ፈጣሪነት	organising the other factors and bearing business risk	**Profit**

The descriptions of each factor are standard enrichment; the textbook lists the four factors and their four rewards.

Example 1.5 · Factors and their rewards
ምሳሌ 1.5፦ ግብዓቶችና ሽልማታቸው

Match the income with the factor of production: (a) a farmer receives payment for letting a field; (b) a teacher is paid a monthly salary; (c) a person lends money to a firm and is paid for it; (d) the owner of a new bakery keeps what is left after all costs.

ገቢውን ከምርት ግብዓቱ ጋር አዛምዱ፦ (ሀ) አንድ ገበሬ እርሻ በማከራየቱ ክፍያ ይቀበላል፤ (ለ) አንድ መምህር ወርሃዊ ደመወዝ ይከፈለዋል፤ (ሐ) አንድ ሰው ለድርጅት ገንዘብ አበድሮ ክፍያ ያገኛል፤ (መ) የአዲስ ዳቦ ቤት ባለቤት ከወጪ በኋላ የሚቀረውን ይወስዳል።

(a) land → **rent**
(b) labour → **wages**
(c) capital → **interest**
(d) entrepreneurship → **profit**

ሀ) መሬት → ኪራይ፤ ለ) ጉልበት → ደመወዝ፤ ሐ) ካፒታል → ወለድ፤ መ) ሥራ ፈጣሪነት → ትርፍ።

1.4.2 Business Firms
የንግድ ድርጅቶች

ENGLISH

- The terms **“business firms”** and **“producers”** are used interchangeably.

- Firms (1) **hire the services of factors** from households, (2) use them to **produce commodities**, (3) sell the commodities to households, other firms, the government or other countries.
- Firms are the **principal buyers of factors of production** and the **leading producers of commodities**. They include both **private and government enterprises**.

አማርኛ

- “የንግድ ድርጅቶች” እና “አምራቾች” የሚሉት ቃላት በተለዋዋጭነት ይሠራባቸዋል።
- ድርጅቶች (1) የግብዓት አገልግሎቶችን ከቤተሰቦች ይቀጥራሉ፣ (2) ሸቀጦችን ለማምረት ይጠቀሙባቸዋል፣ (3) ሸቀጦቹን ለቤተሰቦች፣ ለሌሎች ድርጅቶች፣ ለመንግሥት ወይም ለሌሎች ሀገሮች ይሸጣሉ።
- ድርጅቶች የምርት ግብዓቶች ዋና ገዢዎችና የሸቀጦች ቀዳሚ አምራቾች ናቸው፤ የግልና የመንግሥት ድርጅቶችን ያካትታሉ።

1.4.3 Government

መንግሥት

ENGLISH

- In economics, “government” means the **general government**, to distinguish it from government-owned enterprises.
- It **purchases goods and services** from producers and **factor services** from households, and uses them to provide **free services** (police, education, medical and sanitation facilities, judicial services) that satisfy **collective needs**.
- Its income comes mainly from **taxes** on households and business firms, in **direct and indirect** forms.

አማርኛ

- በኢኮኖሚክስ “መንግሥት” ማለት ከመንግሥት ንብረት ከሆኑ ድርጅቶች ለመለየት አጠቃላይ መንግሥትን (General government) ያመለክታል።
- ሸቀጦችንና አገልግሎቶችን ከአምራቾች፣ የግብዓት አገልግሎቶችን ከቤተሰቦች ይገዛል፤ ከዚያም የጋራ ፍላጎቶችን ለማሟላት ነፃ አገልግሎቶችን (ፖሊስ፣ ትምህርት፣ ሕክምናና ንፅህና አገልግሎቶች፣ የፍርድ አገልግሎቶች) ይሰጣል።
- ገቢው በዋናነት ከቤተሰቦችና ከድርጅቶች በቀጥታና በተዘዋዋሪ ከሚሰበሰብ ግብር ነው።

Taxes

ENGLISH

- Taxes are **compulsory levies** imposed on individuals or firms. Their main purpose is to **raise revenue** for government spending, though they serve other purposes too.
- Taxes are the main way to **finance public expenditure**, which tends to grow with national product. Every citizen is responsible for paying taxes so that public investment and sustainable development can continue.
- **Direct tax:** paid directly by the person or firm on whom it is levied (e.g. income tax). **Indirect tax:** included in the price of goods and services (e.g. VAT). *(Examples are enrichment.)*

አማርኛ

- ግብር በግለሰቦች ወይም በድርጅቶች ላይ የሚጣል አስገዳጅ ክፍያ ነው፤ ዋና ዓላማው ለመንግሥት ወጪ ገቢ ማሰባሰብ ነው።
- ግብር የመንግሥት ወጪን ለመሸፈን ዋናው መንገድ ነው፤ እያንዳንዱ ዜጋ ግብር የመክፈል ኃላፊነት አለበት።
- ቀጥተኛ ግብር በተጣለበት ሰው በቀጥታ የሚከፈል ነው (ምሳሌ፦ የገቢ ግብር)፤ ተዘዋዋሪ ግብር በዕቃዎች ዋጋ ውስጥ የተካተተ ነው (ምሳሌ፦ ተጨማሪ እሴት ታክስ)።

Example 1.6 · Who does what?
ምሳሌ 1.6፦ ማን ምን ያደርጋል?

Name the decision-making unit for each activity: (a) sells labour and receives wages; (b) hires workers and produces bread; (c) builds free public schools; (d) pays income tax; (e) collects taxes.

ለእያንዳንዱ ተግባር ውሳኔ ሰጪ አካሉን ጥቀሱ፦ (ሀ) ጉልበት ሸጦ ደመወዝ ይቀበላል፤ (ለ) ሠራተኞችን ቀጥሮ ዳቦ ያመርታል፤ (ሐ) ነፃ የሕዝብ ትምህርት ቤቶችን ይገነባል፤ (መ) የገቢ ግብር ይከፍላል፤ (ሠ) ግብር ይሰበስባል።

(a) **household** (b) **business firm** (c) **government**
(d) **household** (or a firm paying on its profit) (e) **government**

ሀ) ቤተሰብ፤ ለ) የንግድ ድርጅት፤ ሐ) መንግሥት፤ መ) ቤተሰብ (ወይም በትርፉ ላይ የሚከፍል ድርጅት)፤ ሠ) መንግሥት።

Example 1.7 · Direct or indirect tax?
ምሳሌ 1.7፦ ቀጥተኛ ወይስ ተዘዋዋሪ ግብር?

Aster pays 15 percent of her salary to the government as income tax. When she buys a notebook, part of the price she pays is VAT. Which tax is direct and which is indirect?

አስቱር ከደመወዟ ላይ 15 በመቶ የገቢ ግብር ለመንግሥት ትከፍላለች፤ ደብተር ስትገዛ ከዋጋው ውስጥ የተወሰነው ተጨማሪ እሴት ታክስ (VAT) ነው። የትኛው ቀጥተኛ የትኛው ተዘዋዋሪ ነው?

income tax is paid directly by Aster on her income → **direct**
VAT is hidden in the price of the notebook → **indirect**

የገቢ ግብር ቀጥተኛ፤ በዋጋ ውስጥ የተካተተው VAT ተዘዋዋሪ ነው።

KEY TAKEAWAY Decision-making units / ውሳኔ ሰጪ አካላት

- **Households** own factors, sell factor services, earn rent/wages/interest/profit, spend, save and pay taxes.
- **Firms** buy factors, produce and sell commodities.
- **Government** buys goods and factor services, provides free public services and earns income mainly from taxes.
- ቤተሰቦች ግብዓት ባለቤቶች፣ ድርጅቶች ገዢና አምራቾች፣ መንግሥት ግብር ሰብሳቢና የሕዝብ አገልግሎት አቅራቢ ነው።

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Unit Summary and Key Terms

የምዕራፉ ማጠቃለያና ቁልፍ ቃላት

Term ቃል	Meaning ትርጉም
Economics ኢኮኖሚክስ	Social science of the efficient allocation of scarce resources to satisfy unlimited human needs
Scarcity እጥረት	Resources are limited relative to unlimited needs
Oikonomia ኦይኮኖሚያ	Greek word: management of a household
Microeconomics ማይክሮ ኢኮኖሚክስ	Individual units; price determination and resource allocation
Macroeconomics ማክሮ ኢኮኖሚክስ	Whole economy; level of income and employment; full employment
Theory ንድፈ ሐሳብ	Simplified picture of reality based on logical reasoning
Deductive method ዲዳክቲቭ	General → particular
Inductive method ኢንዳክቲቭ	Particular → general
Positive economics ፖዚቲቭ	Describes what is; testable with facts
Normative economics ኖርማቲቭ	What ought to be; value judgments; settled by voting or debate
Economic agents የኢኮኖሚ ወኪሎች	Households, business firms, government
Factor services የግብዓት አገልግሎት	Land, labour, capital, entrepreneurship → rent, wages, interest, profit
Tax ግብር	Compulsory levy on individuals or firms to raise government revenue

Chapter Summary

የምዕራፉ ማጠቃለያ

ENGLISH

- Economics (from Greek *oikonomia*) is a social science that studies the **efficient allocation of scarce resources** to satisfy **unlimited human needs**.
- Its definition evolved through the wealth, welfare and scarcity views. It is **both a science** (what is) **and an art** (problem-solving techniques).
- **Microeconomics** studies individual units (price determination, resource allocation); **macroeconomics** studies the whole economy (income, employment, general price level). They are complementary.
- **Deductive** reasoning goes general → particular; **inductive** reasoning goes particular → general; the two are complementary.
- **Positive** economics deals with facts (what is); **normative** economics deals with value judgments (what ought to be).
- The basic decision-making units are **households, business firms and the government**; taxes are the government's main source of income.

አማርኛ

- ኢኮኖሚክስ (ከግሪክ "ኦይኮኖሚያ") እጥረት ያለባቸውን ሀብቶች በብቃት በመመደብ ገደብ የለሽ የሰው ፍላጎቶችን ለማርካት የሚያጠና ማኅበራዊ ሳይንስ ነው።
- ትርጓሜው በሀብት፣ በደህንነትና በእጥረት አመለካከቶች አልፏል። ሁለቱም ነው፦ ሳይንስ (ያለውን) እና ጥበብ (ችግር መፍቻ ዘዴዎች)።
- ማይክሮ ኢኮኖሚክስ ነጠላ አካላትን፣ ማክሮ ኢኮኖሚክስ መላ ኢኮኖሚን ያጠናል፤ ተጓዳኝ ናቸው።
- ዲዳክቲቭ ከጠቅላላ ወደ ልዩ፣ ኢንዳክቲቭ ከልዩ ወደ ጠቅላላ ይሄዳል፤ ተጓዳኝ ናቸው።
- ፖዚቲቭ ስለ እውነታ (ያለውን)፣ ኖርማቲቭ ስለ አሴት ፍርድ (ሊሆን የሚገባውን) ይናገራል።
- መሠረታዊ ውሳኔ ሰጪ አካላት ቤተሰቦች፣ የንግድ ድርጅቶችና መንግሥት ናቸው፤ ግብር የመንግሥት ዋና ገቢ ነው።

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EUEE Exam Tips for Introducing Economics

ለኢኮኖሚክስ መግቢያ የ EUEE የፈተና ምክሮች

1. Remember the core definition.
Unlimited needs + scarce resources → choice → efficient allocation. Never reverse them.

> ገደብ የለሽ ፍላጎት + እጥረት ያለበት ሀብት → ምርጫ → ቀልጣፋ ድልድል። ፈጽሞ አትገለብጡ።

2. Micro = one, macro = all.
One price, one firm, one household → micro. GDP, total employment, general price level → macro.

> አንድ ዋጋ፣ አንድ ድርጅት፣ አንድ ቤተሰብ → ማይክሮ። GDP፣ ጠቅላላ ሥራ፣ አጠቃላይ የዋጋ ደረጃ → ማክሮ።

3. Match the central problem.
Micro: price determination and allocation. Macro: level of income and employment (full employment).

> ማይክሮ፦ የዋጋ አወሳሰንና ድልድል። ማክሮ፦ የገቢና የሥራ ስምሪት ደረጃ።

4. Tools differ.
Micro: demand and supply of particular goods. Macro: aggregate demand and aggregate supply.

> ማይክሮ፦ የተወሰኑ ዕቃዎች ፍላጎትና አቅርቦት። ማክሮ፦ ጥቅል ፍላጎትና ጥቅል አቅርቦት።

5. Deduction goes down, induction goes up.
General → particular = deductive; particular → general = inductive. Both are complementary.

> ጠቅላላ → ልዩ = ዲዳክቲቭ፤ ልዩ → ጠቅላላ = ኢንዳክቲቭ።

6. Spot value words.
should, ought, better, worse, fair → normative. Facts and numbers that can be checked → positive.

> "ይገባል፣ የተሻለ፣ ፍትሃዊ" → ኖርማቲቭ። ሊፈተሹ የሚችሉ እውነታዎችና ቁጥሮች → ፖዚቲቭ።

7. Positive ≠ true.
A positive statement can be wrong; it is still positive because it is testable.

> ፖዚቲቭ መግለጫ ሊሳሳት ይችላል፤ ሆኖም ሊፈተሽ ስለሚችል ፖዚቲቭ ነው።

8. Four factors, four rewards.
Land–rent, labour–wages, capital–interest, entrepreneurship–profit.

> መሬት–ኪራይ፣ ጉልበት–ደመወዝ፣ ካፒታል–ወለድ፣ ሥራ ፈጣሪነት–ትርፍ።

9. Households own the factors; firms buy them.
Households sell factor services and receive income; firms hire them and produce.

> ቤተሰቦች ግብዓት ባለቤቶች ሲሆኑ ድርጅቶች ይገዛሉ።

10. Read every option.
Questions often ask "which is NOT …". Eliminate statements that reverse a definition.

> "የትኛው አይደለም…" የሚሉ ጥያቄዎችን በጥንቃቄ ያንብቡ።

Practice Question Bank

የልምምድ ጥያቄዎች ስብስብ

Try each question first, then check the **Answer Key** at the end. Levels: **Easy, Medium, Hard**. Questions tagged **EUEE trap** copy the traps that catch many students in the entrance exam.

Q1 ጥያቄ 1 *[Easy] Origin*

The word "economics" comes from the Greek word *oikonomia*, which means

A) the wealth of nations
B) management of a household
C) the science of money
D) study of markets

Q2 ጥያቄ 2 *[Easy] Definition*

Economics is classified as a branch of

A) natural science
B) social science
C) mathematics
D) engineering

Q3 ጥያቄ 3 *[Easy] Definition*

Economics is concerned with satisfying

A) limited needs with unlimited resources
B) unlimited needs with scarce resources
C) unlimited needs with unlimited resources
D) limited needs with scarce resources

Q4 ጥያቄ 4 *[Easy] Key statements*

Which of the following is NOT a key statement derived from the definition of economics?

A) Economics studies scarce resources.
B) The allocation of resources should be efficient.
C) Human needs are limited.
D) Economics studies the allocation of resources.

Q5 ጥያቄ 5 *[Medium] Science or art*

Economics can be considered a science mainly because it

A) systematically collects, classifies, analyses and interprets facts
B) provides techniques for solving unemployment
C) judges what is good or bad
D) sets prices for goods

Q6 ጥያቄ 6 *[Medium] Science or art*

Economics can be considered an art because it

- **A)** produces a body of knowledge about “what is”
- **B)** provides principles and methods to solve problems such as poverty and inflation
- **C)** uses only experiments
- **D)** avoids practical problems

Q7 ጥያቄ 7 *[Easy] Definition*

As a “science of choice”, economics studies how people choose to use

- **A)** unlimited resources
- **B)** scarce or limited productive resources
- **C)** only money
- **D)** only natural resources

Q8 ጥያቄ 8 *[Easy] Microeconomics*

Microeconomics is mainly concerned with

- **A)** the economy as a whole
- **B)** the behaviour of individual decision-making units
- **C)** total national output only
- **D)** international trade only

Q9 ጥያቄ 9 *[Easy] Macroeconomics*

Macroeconomics deals with

- **A)** the aggregate behaviour of all decision-making units in an economy
- **B)** the income of one household
- **C)** the price of one product
- **D)** the output of one firm

Q10 ጥያቄ 10 *[Medium] Micro or macro*

Which of the following is a microeconomic topic?

- **A)** GDP of Ethiopia
- **B)** Price of orange
- **C)** Total employment
- **D)** General price level

Q11 ጥያቄ 11 *[Medium] Micro or macro*

Which of the following is a macroeconomic topic?

- **A)** Price of teff
- **B)** Income of Aberash
- **C)** National income
- **D)** Saving of Chala

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Q12 ጥያቄ 12 *[Medium] Central problem*

The central problem of macroeconomics is the determination of the

A) price of a commodity
B) level of income and employment
C) equilibrium of a consumer
D) output of a firm

Q13 ጥያቄ 13 *[Medium] Central problem*

The central problem of microeconomics is

A) price determination and allocation of resources
B) full employment of resources
C) determination of national income
D) general price level

Q14 ጥያቄ 14 *[Medium] Tools*

The main tools of microeconomics are

A) aggregate demand and aggregate supply
B) demand and supply of particular commodities and factors
C) national income accounts only
D) government budgets only

Q15 ጥያቄ 15 *[Hard] EUEE trap · micro or macro*

“The general price level in Ethiopia rose last year.” This statement belongs to

A) microeconomics
B) macroeconomics
C) neither branch
D) both branches equally

Q16 ጥያቄ 16 *[Hard] EUEE trap · micro or macro*

A firm decides how many workers to hire. This is a topic of

A) macroeconomics
B) microeconomics
C) international economics only
D) none of these

Q17 ጥያቄ 17 *[Easy] Methods*

The deductive method proceeds from

A) particular to general
B) general to particular
C) part to whole
D) observation to hypothesis

Q18 ጥያቄ 18 *[Easy] Methods*

The inductive method is reasoning from

A) general principles to specific facts
B) the particular to the general
C) theory to theory
D) opinion to fact

Q19 ጥያቄ 19 *[Medium] Methods*

“Man is mortal; Abebe is a man; therefore Abebe is mortal.” This is an example of

A) inductive reasoning
B) deductive reasoning
C) positive economics
D) normative economics

Q20 ጥያቄ 20 *[Medium] Methods*

Observing that grain prices fall at harvest time, an economist concludes that an increase in supply lowers price. This reasoning is

A) deductive
B) inductive
C) normative
D) irrelevant to theory

Q21 ጥያቄ 21 *[Medium] Methods*

The deductive and inductive methods are

A) competing methods
B) complementary methods
C) identical methods
D) used only in physics

Q22 ጥያቄ 22 *[Easy] Theory*

In economics, a theory is

A) a simplified picture of reality based on logical reasoning
B) an unchecked opinion
C) a collection of prices
D) a law passed by the government

Q23 ጥያቄ 23 *[Easy] Approaches*

Positive economics is concerned with

A) what the economy ought to be
B) what is, what was or what will be
C) value judgments
D) voting on policies

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Q24 ጥያቄ 24 *[Easy] Approaches*

Normative economics is concerned with

A) what is
B) what ought to be
C) only past data
D) only statistics

Q25 ጥያቄ 25 *[Medium] Approaches*

Which of the following is a positive statement?

A) The government should introduce school feeding programs.
B) The current inflation rate in Ethiopia is 12 percent.
C) Taxes ought to be lower.
D) There should be government intervention in the economy.

Q26 ጥያቄ 26 *[Medium] Approaches*

Which of the following is a normative statement?

A) The number of secondary schools in Ethiopia is increasing.
B) Ethiopia's inflation rate was 12 percent last year.
C) Taxes on tobacco ought to be raised.
D) Unemployment is higher in towns than in villages.

Q27 ጥያቄ 27 *[Hard] Approaches*

A disagreement about a normative statement is usually settled by

A) referring to facts and evidence
B) voting or public debate
C) a laboratory experiment
D) a calculation

Q28 ጥያቄ 28 *[Hard] EUEE trap · positive statements*

Which statement about positive statements is correct?

A) They cannot be tested against facts.
B) They describe the world as it is and can be checked against facts, even if they turn out to be wrong.
C) They express value judgments.
D) They can only be settled by voting.

Q29 ጥያቄ 29 *[Easy] Decision-making units*

The basic decision-making units of an economy are

A) households, firms and the government
B) banks, schools and hospitals
C) farmers, traders and workers
D) exporters, importers and consumers

Q30 ጥያቄ 30 *[Easy] Households*

The chief owners of the factors of production are

A) business firms
B) households
C) the government
D) foreign countries

Q31 ጥያቄ 31 *[Medium] Households*

In return for selling factor services to firms, households receive income in the form of

A) taxes and subsidies
B) rent, wages, interest and profit
C) goods only
D) public services

Q32 ጥያቄ 32 *[Medium] Firms*

The principal buyers of factors of production and the leading producers of commodities are

A) households
B) business firms
C) consumers
D) the central bank only

Q33 ጥያቄ 33 *[Medium] Government*

The general government obtains its income primarily from

A) selling goods to households
B) taxes
C) borrowing from firms only
D) rent on its offices

Q34 ጥያቄ 34 *[Medium] Government*

Taxes are best described as

A) voluntary gifts
B) compulsory levies on individuals or firms
C) payments for goods bought
D) loans to the government

Q35 ጥያቄ 35 *[Hard] EUEE trap · agents*

Which of the following is NOT an activity of households?

A) Selling factor services
B) Paying taxes
C) Hiring factors of production to produce commodities
D) Saving part of their income

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Q36 ጥያቄ 36 *[Hard] EUEE trap · government*

In economics, “government” refers to

A) all government-owned enterprises
B) the general government, as distinct from government-owned enterprises
C) only the police
D) only local administrations

Model EUEE-Style Questions

የ EUEE ዓይነት ሞዴል ጥያቄዎች

These five questions were written in the style, difficulty and format of the Ethiopian University Entrance Examination. They are original model questions, not copies of official past papers.

Q37 ጥያቄ 37 *[Medium] Model · EUEE style*

Which of the following pairs is correctly matched?

A) Land – wages
B) Labour – rent
C) Capital – interest
D) Entrepreneurship – wages

Q38 ጥያቄ 38 *[Hard] Model · EUEE style*

An economist records teff prices in 20 markets for five years and concludes that prices rise when supply falls. This is an example of

A) deduction
B) induction
C) normative analysis
D) a value judgment

Q39 ጥያቄ 39 *[Medium] Model · EUEE style*

Studying how a rise in the general price level affects the whole economy is a task of

A) microeconomics
B) macroeconomics
C) neither
D) household budgeting only

Q40 ጥያቄ 40 *[Hard] Model · EUEE style*

Which statement about microeconomics and macroeconomics is correct?

A) Macroeconomics can be studied fully independent of microeconomics.
B) They are complementary and interdependent.
C) Microeconomics studies the economy as a whole.
D) Macroeconomics focuses on the price of a single product.

Q41 ጥያቄ 41 *[Medium] Model · EUEE style*

Which of the following is a service provided free by the government to satisfy collective needs?

A) Police protection
B) Selling bread
C) Private tuition
D) Renting houses for profit

Complete Answer Key

ሙሉ የመልስ ቁልፍ

Each answer has a short explanation in English and a one-line summary in Amharic.

Q1 Answer: B መልስ
Oikonomia means the management of a household (family).
ኦይኮኖሚያ = የቤተሰብ አስተዳደር።

Q2 Answer: B መልስ
Economics is a branch of the social sciences.
ኢኮኖሚክስ የማኅበራዊ ሳይንስ ቅርንጫፍ ነው።

Q3 Answer: B መልስ
Needs are unlimited while resources are scarce.
ፍላጎት ገደብ የለሽ፣ ሀብት እጥረት ያለበት ነው።

Q4 Answer: C መልስ
Human needs are unlimited, not limited — so option C reverses a key statement.
ፍላጎት ገደብ የለሽ ነው፤ ስለዚህ “limited” የሚለው ስህተት ነው።

Q5 Answer: A መልስ
A science collects, classifies, analyses and interprets facts systematically and can predict.
ሳይንስ እውነታን በሥርዓት ይሰበስባል፣ ይተነትናል።

Q6 Answer: B መልስ
An art is a technique; economics offers methods to solve unemployment, poverty and inflation.
ጥበብ ዘዴ ነው፤ ኢኮኖሚክስ ችግር መፍቻ ዘዴ ይሰጣል።

Q7 Answer: B መልስ
As a science of choice it studies how scarce or limited productive resources are used.
እጥረት ያለባቸው የምርት ሀብቶች አጠቃቀም ምርጫ።

Q8 Answer: B መልስ
Micro studies individual decision-making units such as households and firms.
ማይክሮ ነጠላ ውሳኔ ሰጪ አካላትን ያጠናል።

Q9 Answer: A መልስ
Macro studies the aggregate behaviour of all units in an economy.
ማክሮ የሁሉም አካላት ጥቅል ባህሪን ያጠናል።

Q10 Answer: B መልስ
The price of one product (orange) is micro; GDP, total employment and the general price level are macro.
የአንድ ምርት ዋጋ → ማይክሮ።

Q11 Answer: C መልስ
National income is an aggregate → macro.
ብሔራዊ ገቢ ጥቅል ነው → ማክሮ።

Q12 Answer: B መልስ
Macro: determination of the level of income and employment.
ማክሮ፦ የገቢና የሥራ ስምሪት ደረጃ።

Q13 Answer: A መልስ
Micro: price determination and allocation of resources; full employment is macro.
ማይክሮ፦ የዋጋ አወሳሰንና የሀብት ድልድል።

Q14 Answer: B መልስ
Micro tools: demand and supply of particular commodities/factors; macro uses aggregate demand and supply.
የተወሰኑ ዕቃዎች ፍላጎትና አቅርቦት።

Q15 Answer: B መልስ
A general price level is an economy-wide aggregate → macroeconomics.
አጠቃላይ የዋጋ ደረጃ → ማክሮ።

Q16 Answer: B መልስ
One firm's decision is an individual unit → microeconomics.
የአንድ ድርጅት ውሳኔ → ማይክሮ።

Q17 Answer: B መልስ
Deduction: general → particular.
ዲዳክሽን፦ ጠቅላላ → ልዩ።

Q18 Answer: B መልስ
Induction: particular → general.
ኢንዳክሽን፦ ልዩ → ጠቅላላ።

Q19 Answer: B መልስ
General principle → specific fact → particular conclusion = deductive.
ዲዳክቲቭ።

Q20 Answer: B መልስ
A specific observation leads to a general rule = inductive.
ኢንዳክቲቭ።

Q21 Answer: B መልስ
The two methods support each other.
ተጓዳኝ ናቸው።

Q22 Answer: A መልስ
A theory is a simplified picture of reality based on logical reasoning.
ንድፈ ሐሳብ የእውነታ ቀለል ያለ ሥዕል ነው።

Q23 Answer: B መልስ
Positive: what is, what was, what will be.
ፖዚቲቭ፦ ያለውን፣ የነበረውን፣ የሚሆነውን።

Q24 Answer: B መልስ
Normative: what ought to be.
ኖርማቲቭ፦ ሊሆን የሚገባውን።

Q25 Answer: B መልስ
A checkable fact (inflation is 12 percent) is positive; “should” and “ought” signal normative statements.
ሊፈተሽ የሚችል እውነታ → ፖዚቲቭ።

Q26 Answer: C መልስ
“Ought to be raised” is a value judgment → normative. The others are factual claims.
“ሊጨመር ይገባል” → ኖርማቲቭ።

Q27 Answer: B መልስ
Normative disagreements cannot be settled by facts; voting or public debate is used.
ኖርማቲቭ አለመግባባት በድምፅ ወይም በሕዝብ ክርክር ይፈታል።

Q28 Answer: B መልስ
Positive statements are testable; a false positive statement is still positive.
ፖዚቲቭ መግለጫ ሊፈተሽ ይችላል።

Q29 Answer: A መልስ
The three basic units: households, business firms, government.
ቤተሰቦች፣ ድርጅቶች፣ መንግሥት።

Q30 Answer: B መልስ
Households own land, labour, capital and entrepreneurship.
ቤተሰቦች የግብዓት ባለቤቶች ናቸው።

Q31 Answer: B መልስ
Selling factor services earns rent, wages, interest and profit.
ኪራይ፣ ደመወዝ፣ ወለድ፣ ትርፍ።

Q32 Answer: B መልስ
Firms hire factors and produce commodities.
ድርጅቶች ግብዓት ገዝተና አምራቾች ናቸው።

Q33 Answer: B መልስ
The general government's main income is taxes.
የመንግሥት ዋና ገቢ ግብር ነው።

Q34 Answer: B መልስ
Taxes are compulsory levies.
ግብር አስገዳጅ ክፍያ ነው።

Q35 Answer: C መልስ
Hiring factors to produce commodities is done by firms, not households.
ግብዓት ቀጥሮ ማምረት የድርጅት ሥራ ነው።

Q36 Answer: B መልስ
"Government" means the general government, not government-owned enterprises.
አጠቃላይ መንግሥት ከመንግሥት ድርጅቶች ይለያል።

Q37 Answer: C መልስ
Land–rent, labour–wages, capital–interest, entrepreneurship–profit.
ካፒታል–ወለድ።

Q38 Answer: B መልስ
Many particular observations lead to a general rule → induction.
ከብዙ ምልከታ ወደ ጠቅላላ → ኢንዳክሽን።

Q39 Answer: B መልስ
The general price level is an aggregate → macroeconomics.
አጠቃላይ የዋጋ ደረጃ → ማክሮ።

Q40 Answer: B መልስ
The two branches are complementary and interdependent.
ተጓዳኝና ተደጋጋፊ።

Q41 Answer: A መልስ
Police protection is a free public service; the other options are market activities.
የፖሊስ ጥበቃ ነፃ የሕዝብ አገልግሎት ነው።